
Generative AI's Act Two

From Technology Hammer to Real Value

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Six Decades of Technological Progress Converged to Enable Generative AI

The conditions for generative AI were decades in the making

6 Decades

Moore's Law

Delivered the compute horsepower to process exaflops of data

4 Decades

The Internet

Produced trillions of tokens of training data, accelerated by COVID

2 Decades

Mobile & Cloud

Put a supercomputer in every human's palm, enabling distribution

CONVERGENCE → Generative AI

ChatGPT's launch was the spark that ignited a Cambrian explosion of innovation

AI researchers became rockstars. Hacker houses overflowed with autonomous agents. The arXiv printing press became so prolific that researchers called for a pause.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

Despite skepticism, generative AI's commercial start has outpaced SaaS

>\$1B

startup revenue

in months, not years

ChatGPT

Fastest-growing application in history,
with strong PMF among students and developers

Midjourney

Hundreds of millions in revenue
with a team of just 11 people

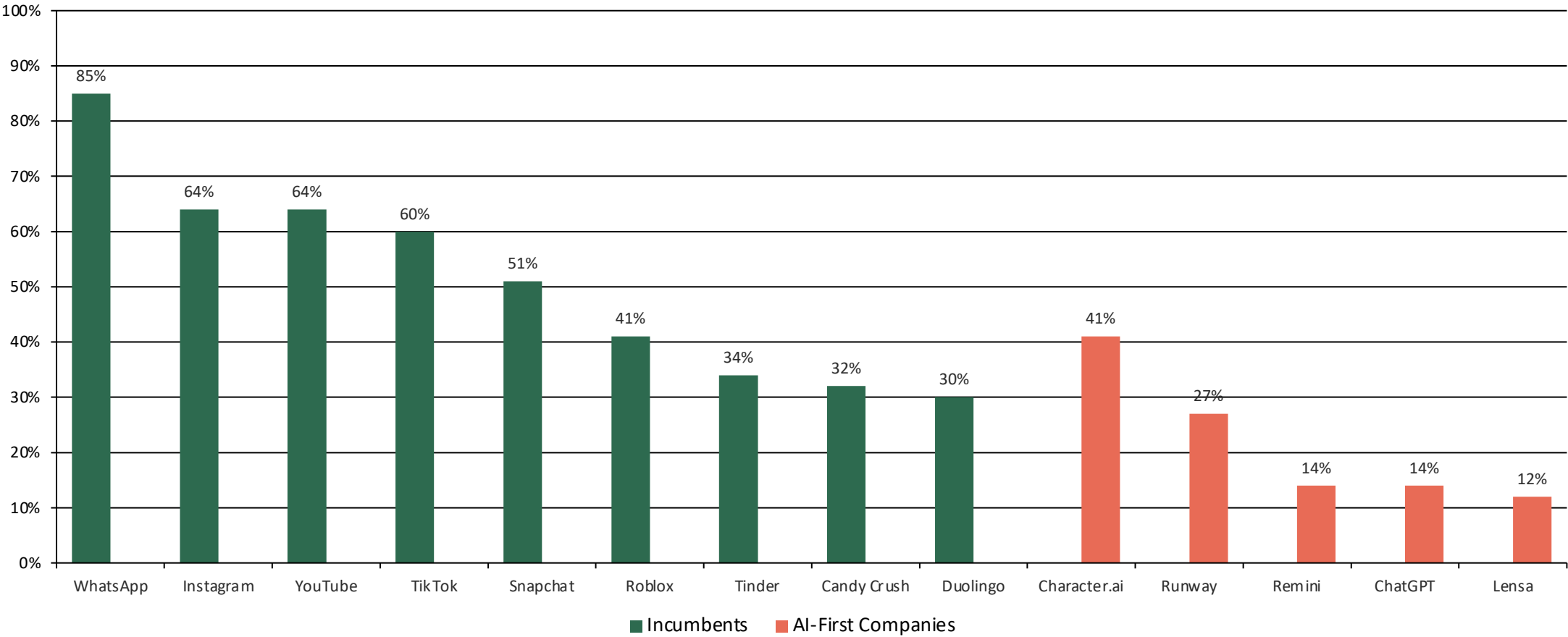
Character.ai

Users spend an average of
2 hours per session in-app

However, many AI companies still lack product-market fit or sustainable competitive advantage. Early revenue does not guarantee enduring value.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Mobile app retention data reveals a stark gap between established apps and AI-first companies

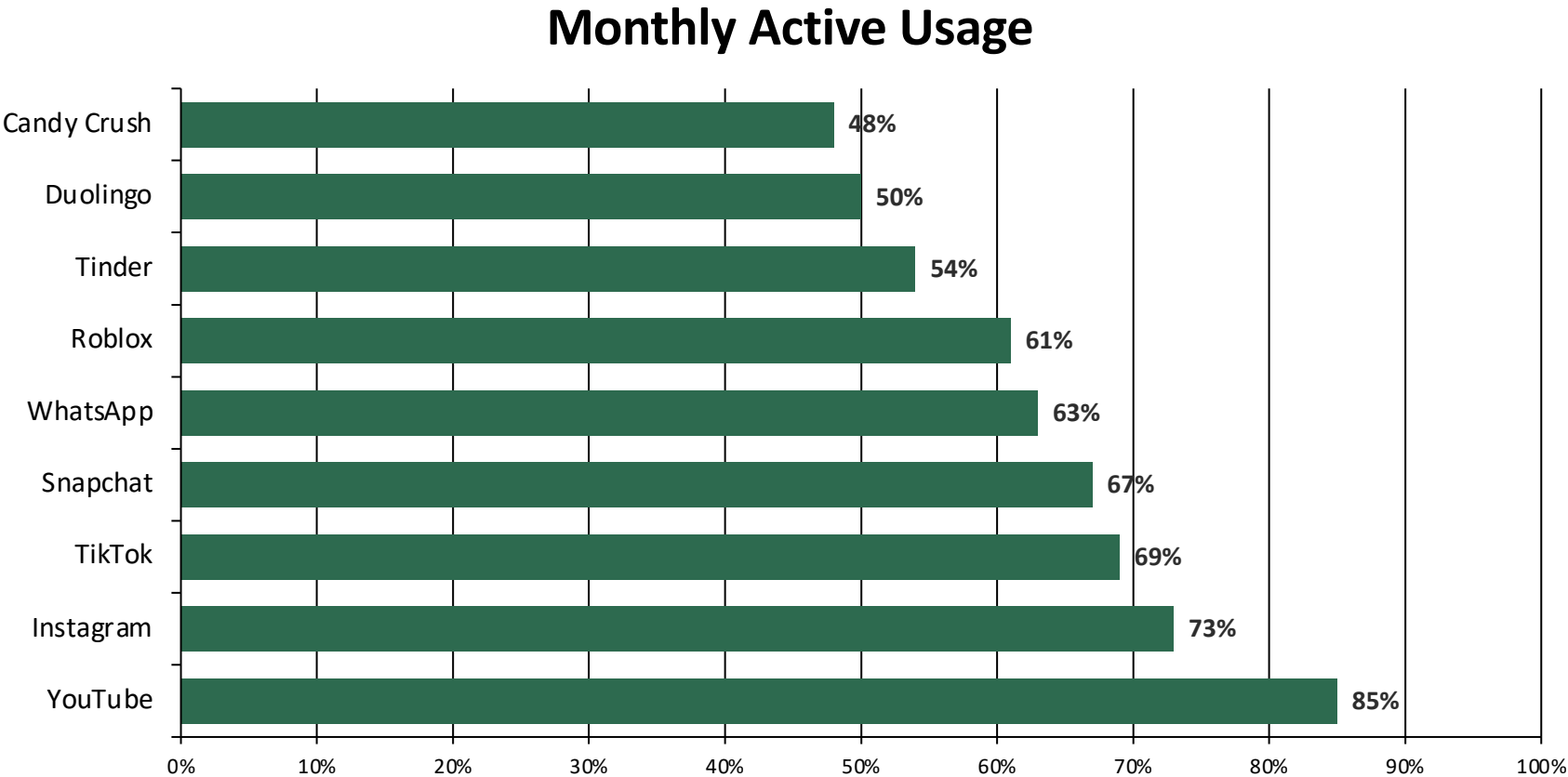


Incumbent Median: 51%

AI-First Median: 14% (3.6x disadvantage)

YouTube Leads Incumbents at 85% Monthly Active Usage

The engagement bar AI apps must clear — incumbent monthly active usage benchmarks



Incumbent Median: 63%

AI-first apps must close a significant engagement gap to compete with these benchmarks

Act 1 Was Technology-Out; Act 2 Is Customer-Back

The generative AI market is transitioning from novelty to value

ACT 1 — Technology-Out

- Foundation models as the entire solution
- Novelty demos and lightweight wrappers
- Cool technology seeking a problem
- Poor user retention and stickiness
- Thin product surfaces



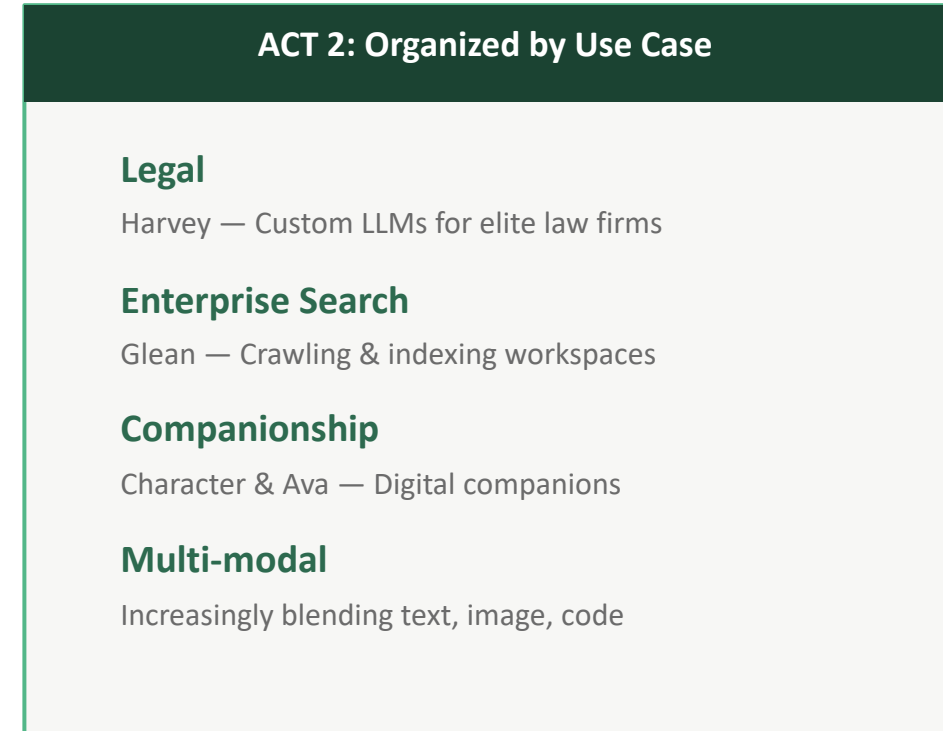
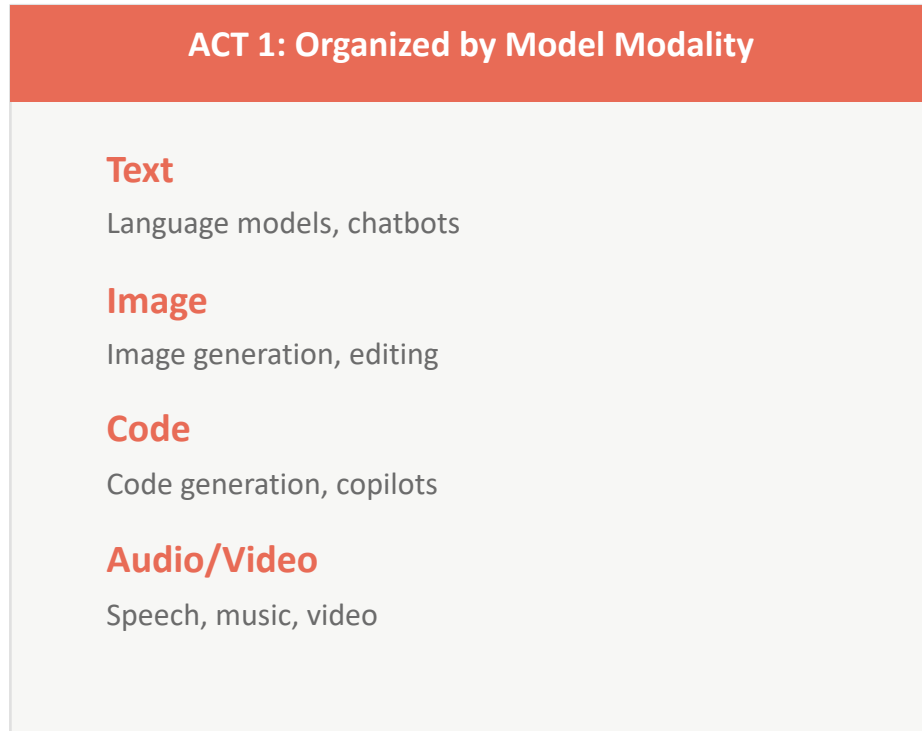
ACT 2 — Customer-Back

- Foundation models as a piece of a comprehensive solution
- New editing interfaces that make workflows stickier
- Multi-modal by nature
- End-to-end problem solving, not thin wrappers
- Solving real human problems

Act 2 Exemplars: Harvey (Legal) | Glean (Enterprise Search) | Character & Ava (Companionship)

Market Map Reorganized by Use Case, Not Model Modality

Reflecting the evolution from technology hammer to actual value delivery



This reorganization mirrors the broader Act 1 → Act 2 transition: from technology looking for problems to solutions built around real human needs

Key Takeaways: What Separates Winners in Act Two

Actionable implications for builders and investors

1

Retention is the critical challenge

AI-first apps at 14% median retention vs. 51% for incumbents — a 3.6x disadvantage that must be closed

2

Foundation models should be a component, not the whole product

Act 2 winners integrate models into comprehensive solutions, not standalone demos

3

Multi-modal, workflow-integrated solutions will win

New editing interfaces and end-to-end workflows create stickiness that thin wrappers cannot

4

The \$1B+ revenue milestone proves real demand exists

Despite hype-cycle skepticism, generative AI's commercial traction is genuine and unprecedented

5

Companies solving end-to-end human problems will define Act 2

Character.ai (41% retention, approaching incumbent levels) shows companionship may be AI's strongest consumer use case